

IMPROVING MANUFACTURING'S SHARE IN GDP

The government has a big role in improving infrastructure, maintaining a reserve of critical inputs and overhauling GST



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Labour intensive sectors like textiles and food products have low employment growth

► **DURING 2011-12 TO 2024-25**, the share of manufacturing in GDP stagnated at 14-17%. The government aimed to increase this to 25% post reforms in 1991. The target has remained elusive. Another plan was to raise the share of workers engaged in manufacturing to at least 100 million; we had reached two-thirds of that level in 2023-24 (11.4 % of workers). Overall manufacturing growth during 2011-2025 averaged 5.9% as against overall GDP growth of 6%. To get a 25% share in GDP, manufacturing growth needs to be nearly 1.6 times the rate of growth of GDP.

Trade disruptions, supply chain chokes, geopolitical uncertainties, need for a greater oversight of the production process, job creation, innovation and national security make a strong case for onshoring manufacturing.

We need to develop and adhere to a strategic intent for manufacturing, like China's Strategic Development Plan 2025. Emphasis on effectiveness of R&D is necessary. China has a reservoir of AI experts built up through emphasis on R&D. Domestic labs, innovators, institutions have been funded adequately. This includes repatriation of Chinese AI experts

from abroad. Tamil Nadu has a scheme to get top overseas Indian talent to repatriate. The use of technology has impacted manufacturing. During 2011-2023, average value added in manufacturing was ₹20 lakh crore, employing on average 56 million workers and having ₹67 lakh crore of capital stock.

For structural transformation, we analyse total factor productivity (TFP) in manufacturing.

The overall TFP growth of the manufacturing sector has averaged 0.22%. Major technology intensive sectors have a negative TFP, particularly chemical & chemical products; transport equipment; petroleum products; machinery; electrical equipments; food products; and plastic products. This indicates that in new technology areas, Indian manufacturing is still missing advanced technology or recourse to reverse engineering. In traditional industries like textiles, apparel & leather; metals and fabrications; non-metallic mineral products; paper, pulp and printing; miscellaneous manufacturing & recycling, where value added is usually low, TFP is positive and in some cases significantly higher. Data also reveals that while the overall ratio of GVA to capital stock is 0.3 (three units of capital is needed to produce one unit of value added), it is lower than the overall manufactur-